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Yale Program on Financial Stability Lessons Learned

Andreas Verykios and Kostas Tsatsaronis

By Mercedes Cardona

Andreas Verykios was appointed in 2018 to lead the board of directors of the General Council of the Hellenic Financial Stability Fund (HFSF), an independent special purpose vehicle created to stabilize the Greek banking sector in the wake of the country's debt crisis. The Greek economy was badly affected by the Global Financial Crisis (GFC) and the Sovereign Debt Crisis, when the government was found to have underreported its fiscal deficits and public debt. This led to a downgrade and eventual default of its sovereign bonds, requiring assistance from the European Commission. From 2010 through 2018, the commission implemented three economic adjustment programs (EAPs) to stabilize the Greek financial sector, requiring sharp austerity measures that were widely unpopular in the country. The economy remained in a slow-growth pattern when the COVID-19 pandemic tested the recovery's resilience. Kostas Tsatsaronis served as head of financial institutions at the Bank for International Settlements (BIS) during both crises and joined the HFSF as a nonexecutive member of the General Council in 2019. This Lessons Learned is based on an interview with Verykios and Tsatsaronis held in July 2024; the full transcript can be found here.

Don't be lulled into a false sense of security. Overlooking evidence of risks can lead to perilous results. If a situation appears too good to be true, it most likely is, and policymakers should gather the courage to investigate rather than ignore developing symptoms.

Low interest rates had enabled a number of practices that were risky and deceptive in the years leading to the GFC. Verykios cautioned:

> Don't be fooled by a false sense of security. . . . Prior to the outbreak of the crisis, money was so cheap that Greece thought that this would go on forever. Even lenders were in a false sense of security saying, "Oh, this is a sovereign, it can't go bankrupt." So they were very soft in the way they looked at Greece as a borrower.

In addition, the banking sector in Greece "was all rather incestuous," Verykios said. Bank boards were filled with members connected through politics, and sometimes board members were businesspeople who borrowed from the banks. "There were these kind of buddy clubs, where proper risk management [and] accountability just were not there," said Tsatsaronis. These practices became an issue once the crisis hit the country's bonds and banks became insolvent.

Meanwhile, several Greek governments had, for their own reasons, reported rosier numbers than were actually present. This left banks and the overall economy exposed when the world slid into recession, and shattered confidence in the country's ability to weather the crisis. Once the crisis hit, the credit surge of previous years left banks holding "an enormous level" of nonperforming loans, which exacerbated the crisis.

Verykios explained,

> I think we have to also admit the way this crisis developed in Greece from 2009 to 2010 onward was considerably exacerbated by conflicting announcements regarding the budget deficit and the debt-to-GDP ratio. The statistics were changed from time to time depending on which government came to power, because the new government wanted to blame the previous one and so on. And that really was very detrimental to confidence in the Greek economy.

Tsatsaronis recalled buying a vacation home in Greece in 2008, and nobody he spoke to, among bankers or real estate agents, seemed concerned about the subprime crisis afflicting the US. Meanwhile, at the BIS, the bank's analysts had been writing about the subprime market's vulnerabilities for years before the GFC erupted. Said Tsatsaronis,

> I remember having phone calls from the Fed [Federal Reserve], "Do you know anything about this, or about that?" There were securitizations that were going badly and so on and so forth. So we started looking at these things at the time: What is going on with the subprime market? But that said, BIS is a famous Cassandra of the central banking world. We had been writing for many, many, many years about the weak balance sheets of banks, the growth of credit, the weakening through leverage in the economy, and low interest rates basically covering all this and opening vulnerabilities.
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> The timing came as a bit of a surprise, as [it] always does. But the BIS was, as I said, on this story for many, many years. That was part of my field, so I was involved in this. I mean the size, the magnitude, came as a surprise for what happened, but the causes were outlined early.

At the same time, banks were ignoring the risks, thanks to the low interest rates that enabled bond spreads as high as 30 basis points that made it easier to overlook any danger signs, said Tsatsaronis.

> Greek bonds were selling like hotcakes. They offered a little pickup on the yield; all the banks were happy with that. Greek banks were very happy to own them but so were foreign banks.
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> The ECB [European Central Bank] was accepting them for collateral at no haircut. So it was sort of a win-win if you want, for everybody to just ignore the credit risk. Yeah, there was nonchalance, I would say. I'm not going to call it denial necessarily. I don't know what the right term would be, but they were ignoring the risk. They were just looking the other way.

Once problems start arising, policymakers need to act quickly to address a deteriorating situation. And it is even better to have the necessary infrastructure in place ahead of the crisis.

At the time of the GFC and the Sovereign Debt Crisis, the European Union lacked many of the macroprudential structures that exist today to provide liquidity and stability in times of crisis. The European Union's Single Supervisory Mechanism and the European Stability Mechanism were created as a result of the crises. Their absence caused delays in reacting to the crises that made things worse. Tsatsaronis explained,

> I'm not sure how deeply this has been understood that you cannot get a solution step by step. Unfortunately, in Europe, there were many institutions that were missing [at the time of the crisis]. They had to be put together. Now, the infrastructure exists for [a remedy] to work much faster if Europe is faced with something like the Sovereign Debt Crisis today. Back then, it took two, two and a half years to get something put together. Two years passed from the moment that Greece started going badly, visibly badly, to the time that something serious happened. Now the infrastructure exists, the tools exist for something to be done quicker, like in the US [where] it was done in months. Now whether it will be done faster—because politicians always are politicians, and people who decide [to] follow their own thinking—whether this has been fully absorbed, I cannot tell.

Some of the delay was also a result of political wrangling and debates about moral hazards. As the largest economy in the region, Germany has been a force in determining economic policy in the common market, and Angela Merkel, the German chancellor at the time, was known as a very deliberate manager. Verykios recalled,

> Especially in the days before the existence of the regulatory framework that was set up later, a lot was dependent on decisions of the EU Council of Ministers. I remember in those days, the leader of one of the most important economies in the EU, Germany, was Mrs. Angela Merkel. A very able lady, but very cautious and very slow in wanting to examine everything. Perhaps also culturally not used to the speed with which things can develop in a market economy. Let's not forget, she grew up on the other side of the Iron Curtain. I think that if decisions had been taken a little bit quicker, maybe the depth of the drop in GDP could have been avoided, to some extent anyway.

Tsatsaronis noted that the consequences of responding slowly were very real, citing Japan's lost decades owing to its lethargy in addressing its own crisis in the 1980s. By comparison, he pointed to how the Scandinavian countries addressed their 1990s crisis quickly, with good results, and to how the US intervened quickly in the GFC, also with good results. To do that, Tsatsaronis said, the parties responsible—macroprudential regulators, central banks, supervisors, etc.—need to be empowered and have the authority before a crisis "to take the proverbial punch bowl away from the party," which was not the case in Europe.

Restoring confidence in a government takes time, commitment, and deliberation, but it must be done if one wishes to reap the benefits.

"I think [confidence is] an extremely important factor. It's probably the most important one," said Verykios. "It was a loss of confidence which took us to the brink as a country." Greece faced a 25% drop in GDP and a "Grexit" scenario of dropping from the eurozone was a possibility until then-ECB President Mario Draghi stated the EU would do "whatever it takes" to protect the monetary union.

Taking action to restore confidence was particularly important for a small country like Greece, agreed Tsatsaronis.

> In this moment at least, I would say that a lot of people have understood that it's something that you need, as a small country in particular, for people to be confident in you. I believe in the political system, in business, it may not be fully absorbed, but they've understood it much, much better than before. For the moment, . . . it's very operational as a motivation.

The recovery offered by the three Economic Adjustment Programs (from the European Commission) included what Tsatsaronis termed "radical draconian solutions" to the problems of bank governance. Establishing HFSF was a result of a lack of confidence in the Greek government's ability to manage the recapitalization of the banking sector, said Verykios. "They said, 'We don't want the Greek government managing the participations in banks that arise from these recapitalizations. We want an organization in which we can have some sort of say.'" As a result, the HFSF has observers on its board of directors from the EU institutions, so there is a link with the lenders and they have a say in the process. Verykios concluded,

> I think Greece learned its lesson, that when you are part of a group of countries sharing the same currency, like the eurozone, there is a need for reliable statistics to be shared among this group of countries. And when the group as such starts having doubts and losing confidence in the statistics reported by one member, that can have very serious repercussions. So that's what happened with Greece.

There has been a move towards a more professional management and governance of Greek banks, Verykios explained, but the work continues. The Hercules scheme to securitize nonperforming loans and clean out bank balance sheets was only enacted in 2019.

Since the crisis years of 2010–18, the Greek economy has recovered somewhat, while still stressed by a surge of migrants across the Mediterranean and more recently by the COVID-19 pandemic. But the country's handling of the pandemic and the reforms in business laws and banking that followed the default—including the Hercules scheme—had created a more transparent and professional management of the economic sector by the time the COVID outbreak occurred.

Greece was viewed as one of the EU countries that handled its COVID emergency well, by setting up digital access to services, vaccinations, and other measures. This response has served the country well, Verykios noted.

> It helped to raise the reliability of the Greek government. From a situation where Greece was looked upon with suspicion, coming back to the question of the reported statistics and so on, that luckily changed substantially. And the country has come to be seen as a reliable partner, efficiently run, politically stable.

He also noted that the country's bonds regained investment-grade status in late 2023.

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